Figure 9. Azerbaijan: Public Sector Debt Sustainability Analysis (DSA) – Baseline Scenario

(In percent of GDP unless otherwise indicated)

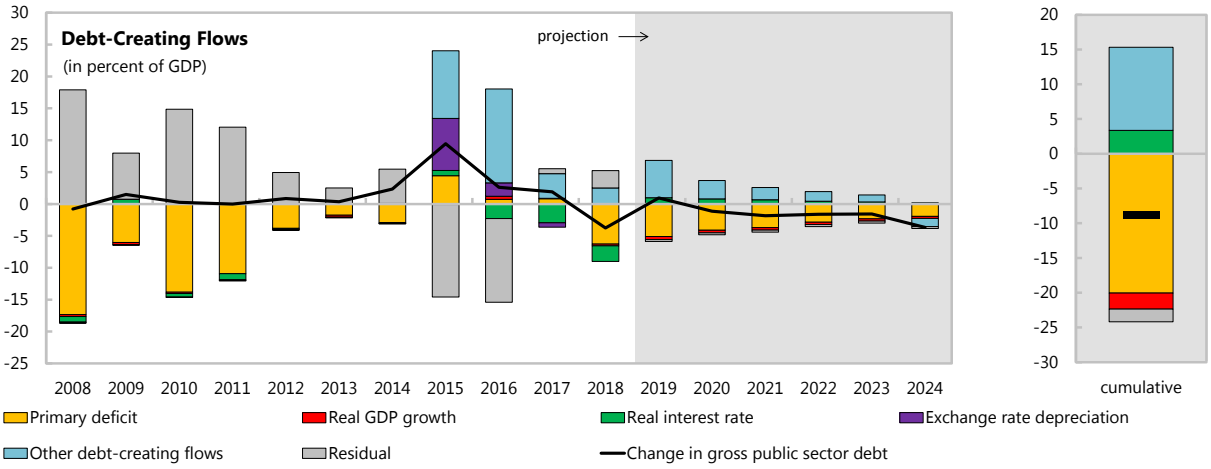
Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2008-2016 [2/]	2017	2018	2019	2020	2021	2022	2023	2024
Nominal gross public debt	8.6	22.5	18.8	19.7	18.6	16.7	15.1	13.6	9.9
Public gross financing needs	-4.5	3.7	-1.7	-2.3	-0.1	3.1	4.5	5.6	8.4
Net public debt	-45.2	-64.0	-63.3	-67.2	-69.4	-70.2	-68.9	-66.7	-66.3
Real GDP growth (in percent)	3.6	-0.3	1.4	2.7	2.1	2.1	2.2	2.3	2.5
Inflation (GDP deflator, in percent)	6.1	16.7	12.2	-1.5	0.2	1.2	1.9	2.5	2.7
Nominal GDP growth (in percent)	9.8	16.4	13.4	0.5	2.2	3.4	4.3	5.1	5.4
Effective interest rate (in percent) [4/]	2.8	3.0	3.4	3.8	4.3	4.9	4.7	4.7	4.1

As of April 05, 2019		
Sovereign Spreads		
EMBIG (bp) 3/		362
5Y CDS (bp)		229
Ratings	Foreign	Local
Moody's	Ba2	Ba2
S&Ps	BB+	BB+
Fitch	BB+	BB+

Contribution to Changes in Public Debt

	Actual			Projections							
	2008-2016	2017	2018	2019	2020	2021	2022	2023	2024	cumulative	debt-stabilizing
Change in gross public sector debt	1.8	1.9	-3.8	1.0	-1.1	-1.8	-1.6	-1.6	-3.7	-8.9	primary
Identified debt-creating flows	-2.3	1.1	-6.5	1.2	-0.8	-1.5	-1.3	-1.3	-3.4	-7.0	balance [9/]
Primary deficit	-5.7	0.8	-6.3	-5.1	-4.1	-3.7	-2.9	-2.3	-1.9	-20.1	-1.4
Primary (noninterest) revenue and grants	40.7	34.2	38.8	39.1	37.8	37.2	36.0	34.9	33.9	218.8	
Primary (noninterest) expenditure	35.0	35.1	32.5	34.0	33.7	33.5	33.1	32.5	31.9	198.8	
Automatic debt dynamics [5/]	0.7	-3.6	-2.7	0.5	0.4	0.3	0.1	0.0	-0.1	1.1	
Interest rate/growth differential [6/]	-0.5	-2.9	-2.7	0.5	0.4	0.3	0.1	0.0	-0.1	1.1	
Of which: real interest rate	-0.4	-3.0	-2.4	1.0	0.8	0.7	0.4	0.3	0.2	3.4	
Of which: real GDP growth	-0.1	0.0	-0.3	-0.5	-0.4	-0.4	-0.4	-0.3	-0.3	-2.3	
Exchange rate depreciation [7/]	1.1	-0.7	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	2.8	3.9	2.5	5.8	2.9	1.9	1.5	1.1	-1.3	12.0	
Privatization (negative)	-0.1	-0.2	-0.1	-0.1	-0.2	-0.2	-0.2	-0.2	-0.2	-0.9	
Contingent liabilities	2.8	4.0	2.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Accumulation/Drawdown of Deposits	0.0	0.0	0.0	6.0	3.0	2.1	1.6	1.3	-1.1	12.9	
Residual, including asset changes [8/]	4.1	0.8	2.7	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-1.8	



Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

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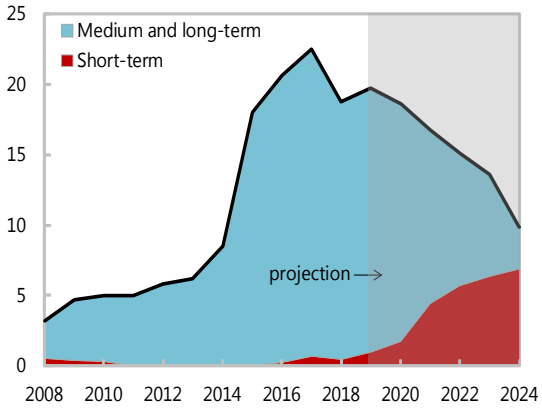
Figure 10. Azerbaijan: Public DSA - Composition of Public Debt and Alternative Scenarios

(In percent of GDP unless otherwise indicated)

Composition of Public Debt

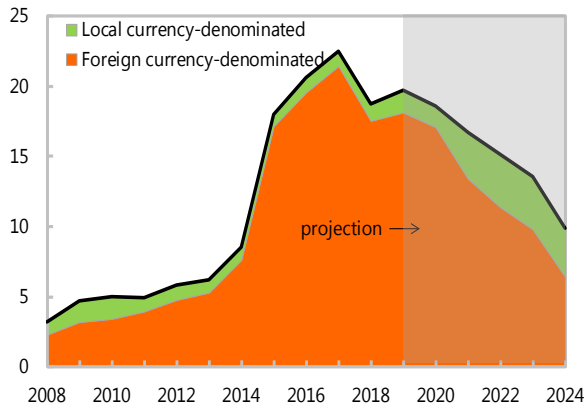
By Maturity

(in percent of GDP)

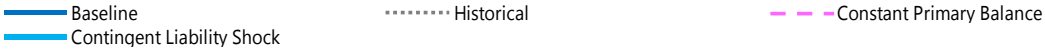


By Currency

(in percent of GDP)

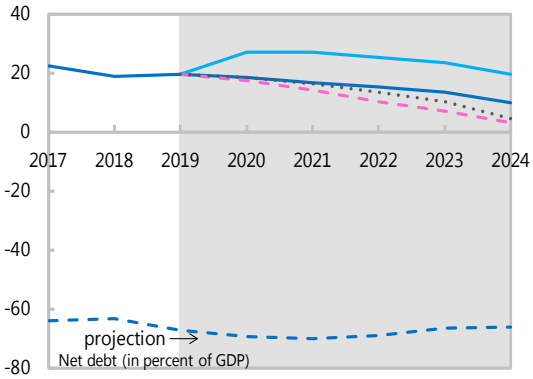


Alternative Scenarios



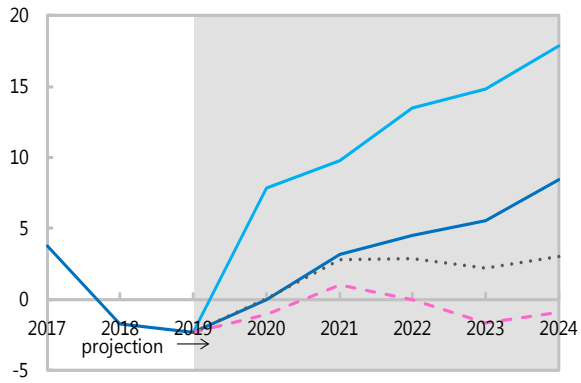
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.7	2.1	2.1	2.2	2.3	2.5
Inflation	-1.5	0.2	1.2	1.9	2.5	2.7
Primary Balance	5.1	4.1	3.7	2.9	2.3	1.9
Effective interest rate	3.8	4.3	4.9	4.7	4.7	4.1
Constant Primary Balance Scenario						
Real GDP growth	2.7	2.1	2.1	2.2	2.3	2.5
Inflation	-1.5	0.2	1.2	1.9	2.5	2.7
Primary Balance	5.1	5.1	5.1	5.1	5.1	5.1
Effective interest rate	3.8	4.3	5.0	5.3	6.2	6.8

Historical Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.7	2.2	2.2	2.2	2.2	2.2
Inflation	-1.5	0.2	1.2	1.9	2.5	2.7
Primary Balance	5.1	4.0	4.0	4.0	4.0	4.0
Effective interest rate	3.8	4.3	4.2	3.4	3.7	3.7
Contingent Liability Shock						
Real GDP growth	2.7	-1.6	-1.5	2.2	2.3	2.5
Inflation	-1.5	-0.7	0.2	1.9	2.5	2.7
Primary Balance	5.1	-3.0	3.7	2.9	2.3	1.9
Effective interest rate	3.8	7.6	4.8	4.1	3.5	3.0

Source: IMF staff.

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